

Portfolio Management Program (PMP)

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Agenda

Setup

Responsibilities

Schedule

Grading

Setup

- Student managed portfolios
 - real money
 - state-of-the art academic knowledge
 - guidance from experienced asset managers
- Project started in 2002, jointly by Josef Zechner, Engelbert Dockner, and Peter Pühringer (*ZZ Vermögensverwaltung, POK Pühringer Privatstiftung*).
- Since 2025 funding through *Engelbert Dockner Stiftung für Zukunftssicherung durch Kapitalbildung und Forschung*.

Professors

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PMP area at the WU library



Learning objectives

- Deepen your understanding from university classes on investment, asset pricing, risk management.
- Develop the capability to critically assess recent research in the context of portfolio management.
- Obtain experience with the institutional details of portfolio management, including details on market access, regulatory requirements and ethical standards.
- Observe markets and learn to cope with market movements.
- Get familiar with data systems (e.g., Bloomberg, Datastream) and widely used software (e.g., R).

- 3 portfolios, each € 250,000
 - DM, EM, and world (AC or all countries)
- Focus equity investments. Cash and bond ETFs permitted (e.g., in buildup period)
- Groups must form return expectations and forward-looking risk estimates
- Evaluation will be based on
 - realized return and risk
 - consistency of the strategy
 - bridging theory and implementation

- Allowed
 - Direct investments in individual securities
 - ETFs
 - Cash
- Prohibited
 - Derivatives
 - Explicit leverage
 - Implicit leverage
- Details in document *PMP Portfolio Rules*

- We will continue with only two, but larger, portfolios
- The *world* portfolio will be split into DM and EM
- 4 analysts should support DM, 3 EM, and 3 AC.

- Portfolio owner is the Dockner Foundation
 - Profits from the portfolios are used to support academic teaching and research.
 - Each student group can place orders for the managed portfolio with Liechtensteinische Landesbank (Österreich) AG. A representative of the Foundation has to co-sign, usually Otto Randl. Students cannot withdraw or transfer money.
 - There is no personal liability for losses.
- Access to professional information systems, e.g. Bloomberg at the WU library

Foundations for all groups

- Modern portfolio theory
 - Deviations from theory's prescriptions should not be arbitrary but require stringent argumentation.
 - Take advantage of recent academic research for the development of strategies.
- Literature, e.g.
 - Bodie, Kane, Marcus (2018), *Investments*
 - Ilmanen (2014), *Expected Returns* and Ilmanen (2022), *Investing Amid Low Expected Returns*
 - Connor, Goldberg, Korajczyk (2010), *Portfolio Risk Analysis*
- Recent academic insights
 - Your tutors will give you hints on insightful papers
 - Currently, there are many excellent online seminar series, e.g., Markus Brunnermeier's Academy

Foundations for all groups (2)

- Intense observation of markets
 - Watch developments on Bloomberg and other sources
 - Read newspapers and The Economist
 - Read industry publications
 - Talk to your colleagues and your tutors
- Professional investment style
 - Stringent decision making and investing process
 - Be prepared to defend your decisions
 - Careful implementation

Responsibilities

Responsibilities of analysts

- Get to know the portfolio
 - What is the strategy? Why are specific positions in the portfolio?
 - Expected returns
 - Portfolio risk
- Support the managers
 - Help with portfolio controlling and performance measurement
 - Analyze countries, industries, companies, instruments
 - Backtest and adapt strategies seen in papers or industry publications
 - Analyze and present investment opportunities and new strategies
 - Help with preparation of quarterly reports

Responsibilities of managers

- Manage the portfolio
 - Decide on investments
 - Develop new investment ideas
 - Trade efficiently
- Documentation
 - Prepare pre-trade information
 - Calculate portfolio statistics
 - Create timely quarterly reports
- Train the analysts
 - Analysts might be overwhelmed and not know where to get started. Give them tasks.

Schedule

- Regular meetings: Monday from 17:30 - 19:00
 - Manager meetings
 - Analyst meetings
 - Technical meetings
 - Expert talks
- In addition you should meet within your group.

Schedule: winter term

Date	Location	Presenters	Content
Oct. 6	EA.6.032	Instructors	First meeting
Oct. 13	TC.2.02	Managers	EM (DM) – DM (AC) – AC (EM)
Oct. 20	EA.5.040	Instructors	Technical meeting: Introduction to R I
Oct. 27	EA.6.026	Expert	
Nov. 3	EA.6.026	Managers	AC (EM) – EM (AC) – DM (AC)
Nov. 10	D4.0.136	Instructors	Technical Meeting: Introduction to R II
Nov. 17	EA.6.026	Analysts	DM – AC — EM
Nov. 24	TC.4.27	Expert	
Dec. 1	D4.0.039	Instructors	Technical meeting: performance evaluation
Dec. 15	TC.5.05	Managers	DM (EM) – AC (DM) – EM (AC)
Dec. 22	EA.6.032	Analysts	AC – DM – EM
Jan. 12, 26	EA.6.032	Individual students	Trade idea presentation
Jan. 19	TC.3.01	Managers	Reporting: EM – DM – AC
Jan. 26	TC.3.01	Expert	

Manager presentations

- Briefly review portfolio performance
- Explain your strategy
- Explain new trades (undertaken and planned)
 - Stand-alone analysis: theoretical and empirical foundation, expected return, risk, costs, implementation
 - Portfolio context: changes to portfolio characteristics
- Max 15 minutes
 - The time limit will be strictly enforced!
- Max two students per presentation
- Upload by Friday

Manager discussions

- Present your own (“controversial”) thoughts and views
 - Not a Q&A, but a separate presentation
 - You need not comment on every point the presenter makes.
 - Address the audience
 - Do not use ‘annotated’ slides of the presenter
- The ultimate goal is to help the presenter and the audience to get a deeper understanding of the topic
- Max 5 minutes
 - The time limit will be strictly enforced!
- One student per discussion

Analyst presentations

- Assignments given by the managers (or tutors) or self-selected topics
- Possibilities
 - Replication of an academic paper or a high-quality industry publication
 - Country analysis
 - Development of a trading strategy
- Explain in detail
 - Foundation / main source
 - Methodology, data, implementation
 - Results and interpretation
 - What is the potential impact on your portfolio?
- Max 20 minutes
 - The time limit will be strictly enforced!
- Max two students per presentation

- Knowing the markets is not a substitute for methodological and technical skills but a complement.
- No PMP student should graduate with knowledge gaps compared to WU master students specializing in finance.
- 6 technical meetings on selected topics over the two years, most to be attended as analyst
- Complemented with two **R** training sessions (elective)

- **R** training
- Bond portfolio strategies
- Performance and risk measurement for your group's portfolio
- Portfolio strategies / Factor investing
- Event studies
- Asset allocation / Black-Litterman model
- Sustainable investing

Technical meetings – What we expect

- Submit your code such that we can run it on our computers
- Prepare a report (or presentation slides) explaining what you do and interpreting the results
- Be prepared to present your solutions
- Every student has to be able to present everything the team did!
- A minimum of two presentations are mandatory.
- We will grade you on
 - Quality and reproducibility of your code
 - Quality and usefulness of your interpretations (does it help to manage a portfolio)
 - Quality of your report or presentation

Trade of the next year competition

- Write a report on your selected trade of the upcoming year 2026
- Upload your report by January 6, 2026
- We will select the best submissions for presentation on Jan 12
- The best reports & presentations will earn bonus points towards the grade

Organizational information

- All presentations have to be uploaded to Canvas.
- In addition, manager presentations have to be sent by email to the discussants.
 - Delayed upload results in a deduction of points.
 - This ensures that all groups have enough time to prepare valuable discussions and feedback for the presenters.

- Deadlines for uploading the presentations

Manager presentations	Friday 23:59
Discussions	Monday 17:00
Analyst presentations	Sunday 23:59
Technical meetings	Friday 23:59
Trade of the year	Jan 6, 2026

Grading

Grading

- One grade per year (not semester)
- Grading components

		Managers	Analysts
Portfolio strategy	group grade	25%	10%
Presentations	40% group, 60% individual	25%	25%
Discussions	individual grade	10%	
Reporting	group grade	15%	15%
Technical Meetings	individual grade		20%
External trainings	individual grade	5%	10%
Cont. assessment	individual grade	20%	20%